

Apple Inc. v. Pepper - United States Supreme Court 139 S. Ct. 1514 (2019)

Brief summary

Apple launched the retail App Store, an electronic store where iPhone owners can purchase apps from Apple. There is an app to aid almost every aspect of someone's daily life. In this case, several consumers contend that Apple charges too much for apps. The consumers argue that Apple has monopolized the retail market for the sale of apps and has unlawfully used its monopolistic power to charge consumers higher-than-competitive prices. A claim that a monopolistic retailer has used its monopoly to overcharge consumers is a classic antitrust claim. However, Apple asserts that the consumer-plaintiffs in this case may not sue Apple because they supposedly were not "direct purchasers" from Apple under our decision in *Illinois Brick Co. v. Illinois*, 431 U. S. 720.

Significance

The Apple V. Pepper decision does not mean Apple has lost and must make compensations, it simply allows individuals to sue Apple over alleged monopolization. The proving of the monopolization is yet another legal battle, and the case will be headed back to lower courts to evaluate whether Apple actually did exercise monopoly power over app prices.

If Apple is found to be guilty of abusing its market power, potentially they may have to offer partial refunds. Apple also may be forced to allow alternative methods for purchasing apps, ensuing competition and theoretically making apps cheaper for consumers. Most importantly and influentially, they could set a precedent for other tech platforms to be similarly sued. This could have a ripple effect across the whole tech industry. A group member predicts that tech giants will simply restructure their payment systems to avoid contractual privity. Others have argued that this case will lessen the incentive for innovation and harm consumers as well in the long run. Regardless of the final outcome, the Supreme Court has removed a massive hurdle in filing antitrust lawsuits against platforms.

IRAC Case Brief

Facts

Apple Inc. sells iPhone applications, or apps, directly to iPhone owners through its App Store, the only place where iPhone owners may lawfully buy apps. Most of those apps are created by independent developers under contracts with Apple. Apple charges the developers a \$99 annual membership fee, allows them to set the retail price of the apps, and charges a 30% commission on every app sale. Respondents, four iPhone owners, sued Apple, alleging that the company has unlawfully monopolized the aftermarket for iPhone apps.

Apple moved to dismiss, arguing that the iPhone owners could not sue because they were not direct purchasers from Apple under *Illinois Brick Co. v. Illinois*. The district court agreed, but the United States Court of Appeals for the Ninth Circuit reversed, concluding that the iPhone owners were direct purchasers because they purchased apps directly from Apple.

Issue

Were the plaintiffs direct consumers to be proper plaintiffs in an antitrust suit? Answer: Yes

Rule

The U.S. Supreme Court's precedent in *Illinois Brick* established a bright-line rule where direct purchasers may sue antitrust violators from whom they purchased a good or service. When there is no intermediary between the purchaser and the antitrust violator, the purchaser may sue. To the extent that *Illinois Brick* leaves any ambiguity about whether a direct purchaser may sue an antitrust violator, the court should resolve that ambiguity in the direction of the statutory text.

Application/Analysis

Section 4 of the Clayton Act, provides that “any person who shall be injured in his business or property by reason of anything forbidden in the antitrust laws may sue.” The Court has previously interpreted this provision to mean that “immediate buyers” from the alleged antitrust violators may sue the antitrust violators, but “indirect purchasers” (those who are two or more steps removed from the violator in a distribution chain) may not.

According to the Illinois Brick precedent, “only the overcharged direct purchaser, and not others in the chain of manufacture or distribution” had statutory standing to sue for antitrust violation. If it is interpreted that plaintiffs purchased the applications on the App store from the app developers, then they lacked standing to sue Apple. However, if interpreted that the users bought apps directly from Apple, then their lawsuit is legitimate.

The plaintiff iPhone owners in this case are not so distantly removed from Apple to foreclose a lawsuit. One key allegation in support of plaintiff's standing was that each consumer had purchased applications from the App Store, which means Apple collecting and then distributing the purchase-cost to app developers afterwards. The Court found such absence of an intermediary between the consumers and Apple to be dispositive. This interpretation is consistent not only with the statutory text and the Court's precedent, but also the policy behind antitrust law. To hold otherwise would “provide a roadmap for monopolistic retailers” to evade antitrust law.

Conclusion

In May 2019, the U.S. Supreme Court issued a 5-4 decision in Apple v. Pepper, one of the most significant antitrust decisions in recent years. The cellphone owners were proper plaintiffs for an antitrust suit, which alleged that the corporation exercised monopoly power in the retail market for the sale of applications (hereinafter, apps) and had unlawfully used its monopoly power to force cell phone owners to pay the corporation higher-than-competitive prices for the apps, because, under Illinois Brick, the owners were direct purchasers who might have sued the corporation for alleged monopolization since the owners bought the apps directly from the corporation. Ever since Congress overwhelmingly passed and President Benjamin Harrison signed the Sherman Act in 1890, “protecting consumers from monopoly prices” has been “the central concern of antitrust.” The consumers here purchased apps directly from Apple, and they alleged that Apple used its monopoly power over the retail apps market to charge higher-than-competitive prices.